

Rich Dad Poor Dad

What The Rich Teach Their Kids About Money
– That The Poor And Middle Class Do Not!

ROBERT T. KIYOSAKI

The Big “So What”



Why do the rich get richer, and the poor get poorer? Why do the educated middle class have a successful career, yet struggle with their financial commitments? In this book, Kiyosaki shares what he learned about wealth from his “rich dad” and “poor dad”, the secrets that separate the Rich from the Poor and Middle Class, and how we can apply this to grow our wealth.

Introduction



Money and financial literacy are not taught in schools. Most people learn about money from their parents, and that’s partially why the rich get richer and the poor get poorer.

Kiyosaki was fortunate to grow up with 2 fathers – one rich and one poor. By comparing and reflecting upon the different advice given by each dad, Kiyosaki was able to learn from both of them.

- **“Poor Dad”**. His father was a school teacher with good degrees and a Ph.D. Yet, despite earning a good salary, he struggled with debt and finances his whole life.
- **“Rich Dad”**. His best friend Mike’s father was a business owner who never finished eighth grade, but eventually became one of the richest men in Hawaii.

At the age of 9, Kiyosaki and Mike asked Rich Dad to teach them how to get rich. Rich Dad began their financial education through real-life lessons, for 30 years until Kiyosaki was 39 years old. In this book, Kiyosaki shares his learning journey and the 6 fundamental lessons that he learned over these 30 years. In this summary, we’ve condensed the lessons into 3 parts.

KEY QUOTES

“Having two dads offered me the choice of contrasting points of view: one of a rich man and one of a poor man.”

“There is a difference between being poor and being broke. Broke is temporary. Poor is eternal.”

“Life is the best teacher of all. Most of the time, life does not talk to you. It just sort of pushes you around. Each push is life saying, ‘Wake up. There’s something I want you to learn.’”

“Proper physical exercise increases your chances for health, and proper mental exercise increases your chances for wealth.”



Part 1: Don't work for money.

Work to learn, and make money work for you.

Get out of the Rat Race



Most of us are controlled by our emotions of fear and desire for money:

- Fear: Most people go to work every day to earn money to pay their bills. They fear being fired, not being able to pay their bills, having to start over...
- Desire (or greed): With more money, people buy more and better things, which give them short-term joy, satisfaction and comfort. However, the more they earn and spend, the harder they must work and the more they fear losing their jobs. They are caught in the "rat race", blame their employers for paying them too little, or working them too hard.

The same applies for many "rich people" who may appear wealthy, but are emotionally broke. They amass loads of money to overcome their fear of not having money, only to end up with more fears of losing the money and status that they've earned. Start by recognizing your fears about money, so you can master them.

Make money work for you



Money is an illusion. By applying your brains, you can make money work for you.

Rich Dad began Kiyosaki and Mike's financial education by giving them a taste of "working life". At 9 years old, the boys "worked" for Rich Dad at 10 cents an hour, and were even offered a pay-rise. Their breakthrough came when they stopped looking at their "job" as the main source of income, and sought alternative ways to make money.

The 2 boys opened a comic book library – they collected used comic books, charged 10 cents for neighbourhood kids to read as many comics as they liked in 2 hours, and hired Mike's sister to manage the library. They started to see what it meant to have money work for them: their business generated money even when they weren't physically there.

KEY QUOTES

"The poor and the middle class work for money. The rich have money work for them."

"Fear pushes you out the door, and desire calls to you. That's the trap."

"I want to teach you to master the power of money, instead of being afraid of it."

"Fear keeps (people) in this trap of working, earning money, working, earning money, hoping the fear will go away... Money is running their lives."

"If you don't first handle fear and desire, and you get rich, you'll only be a highly paid slave."

Rich dad believed that the words "I can't afford it" shut down your brain. "How can I afford it?" opens up possibilities, excitement, and dreams."

"A job is really a short-term solution to a long-term problem."

"Most people... think that more money will solve the problem and don't realize that it's their lack of financial education that is the problem."

Work to Learn



In the long run, education is more valuable than money. Hence, Kiyosaki encourages us to **work not just for money and security, but to learn**. He picked up various skills through a wide range of jobs:

- For years, Kiyosaki worked in different areas of Rich Dad's companies. He also tried working as a bus boy, a construction worker, in reservations, sales and marketing.
- He resigned from a high-paying job with Standard Oil, and joined the Marine Corps to learn international trade and leadership. Recognizing his own fear of door-to-door sales, he joined Xerox Corp to learn to sell, and worked there for 4 years until he overcame the fear and was one of the top salespeople in the company.
- He concurrently started his first business in 1977, which gave him even more motivation to work hard to amass money to invest in real estate.

Focus on learning how to manage cash flows, systems and people, as well as improving your communication, sales and marketing skills, which are foundational to success in any area. If necessary, take a second job that can teach you the necessary skills, or join a network-marketing company to learn sales skills and overcome your fear of failure and rejection.



Part 2: Get financially educated.

Work to learn, and make money work for you.

Growing assets are like planting a tree – you need to tend to it for years, until its roots are deep enough to provide shade and bear fruits for your enjoyment. Unfortunately, **many people want to get rich quickly without learning about money. That's like building a skyscraper with little or no foundation**, and that's why people lose millions as quickly as they acquire it.

Schools equip us with skills to work for money, but not to harness the power of money. Without financial skills, educated people may have a successful profession and a good salary, but they don't keep the money they've earned, nor make the money work hard for them.

KEY QUOTES

"To be the master of money, you need to be smarter than it. Then money will do as it is told. It will obey you. Instead of being a slave to it, you will be the master of it. That is financial intelligence."

"Job security meant everything to my educated dad. Learning meant everything to my rich dad."

"In the long run, it's not how much money you make. It's how much you keep, and how many generations keep it."

"Money is one form of power. But what is more powerful is financial education. Money comes and goes, but if you have the education about how money works, you gain power over it and can begin building wealth."

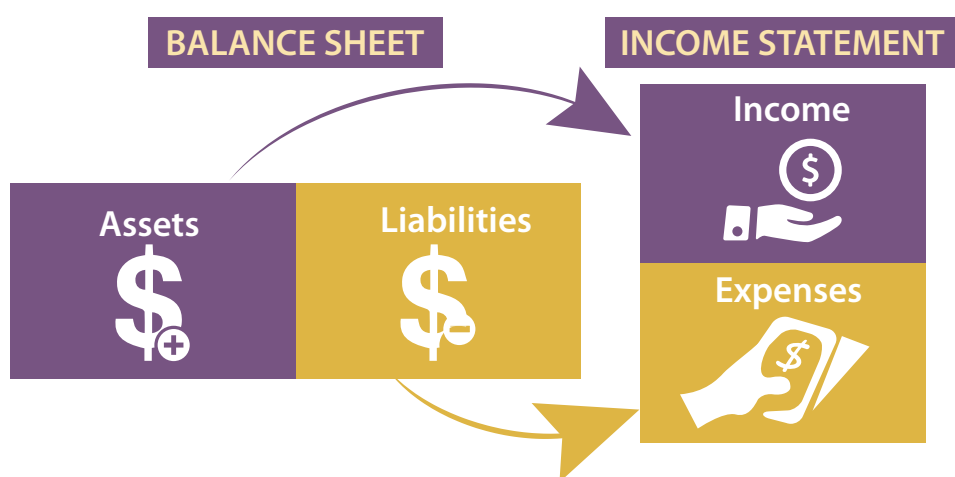
"It's called financial aptitude—what you do with the money once you make it, how to keep people from taking it from you, how to keep it longer, and how to make that money work hard for you."

Financial education requires real-life application and is a life-long process.

Buy Assets, not Liabilities



In order to buy assets, you must know the difference between an asset and a liability. Simply put, **an asset puts money in your pocket**, while **a liability takes money out of your pocket**. You also need to look at cash-flow, as they tell a story of how the money flows and how the money is being handled.



Your home is a liability, not an asset



Have you been told that “your home is your biggest investment”? Well, **if your house isn’t generating income, it’s a liability**. Moreover:

- If you buy a new house every few years, with a new 30-year loan, you never really own your home;
- Houses don’t always appreciate in value. Instead, property taxes may increase, causing extra financial strain;
- The money tied up in the house, the cost of maintaining the house, and the time that you spend working to pay off the mortgage, all represent opportunity costs.

If you wish to buy a bigger house, don’t buy it with cash or loans. Buy assets that’ll generate the cash flow to pay for the house. That way, you avoid losing time (during which your assets could have grown in value), losing capital (which could have been invested elsewhere), and losing learning opportunities (from other investments you could’ve made if the money wasn’t locked up in the house).

KEY QUOTES

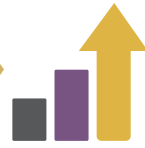
“Rich people acquire assets. The poor and middle class acquire liabilities that they think are assets.”

“Your home is an emotional thing and when it comes to money, high emotions tend to lower financial intelligence.”

“All too often, a house only serves as a vehicle for incurring a home-equity loan to pay for mounting expenses.”

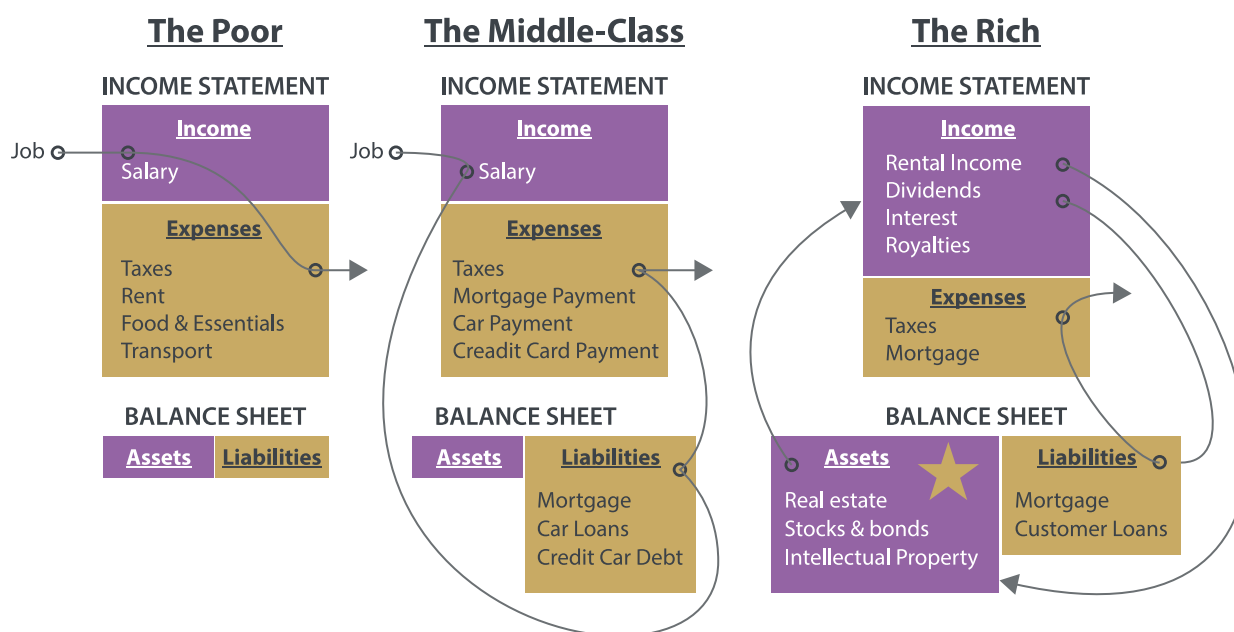
“More money seldom solves someone’s money problems. Intelligence solves problems.”

Focus on your Asset Column, not Income Statement



- The rich get richer because they buy assets, which generate cash.
- The poor only have expenses; thus they're stuck in a poverty loop.
- The middle class struggle, because they buy liabilities they *think* are assets. They spend their income on “assets” like dream homes, cars, children, which are actually liabilities that generate expenses. They work harder to earn more money, only to pay more taxes as their salary increases.

To get rich, grow your asset column. When it generates more than enough income to cover expenses, you'll grow richer without putting in physical labour. Reinvest the balance into the asset column to form a virtuous cycle, or reward yourself with luxuries using the proceeds.



Work for yourself



Most employees struggle financially because they spend their lives working for everyone except themselves. They spend all their time working for their company, pay taxes to the government, pay interest to the bank (for mortgage, car loans or credit card debts), then pay themselves whatever is left.

Instead, mind your own business - keep your daytime job, keep expenses low, reduce liabilities and start building a base of solid assets, such as:

- Businesses that you own but don't require your presence;

KEY QUOTES

“The rich focus on their asset columns, while everyone else focuses on their income statements.”

“If you work for money, you give the power to your employer. If money works for you, you keep the power and control it.”

“Financial struggle is often directly the result of people working all their lives for someone else.”

- Stocks, bonds, income-generating real estate, notes (IOUs), royalties from intellectual property (e.g. music, scripts, patents); and
- Anything else with value, produces income or appreciates, and has a ready market.

Pay yourself first – invest in building your assets *before* paying your bills, and don't ever dip into your savings or investments for your expenses. This may sound extreme, but the pressure from your creditors and unpaid bills could motivate you to seek new opportunities that you'd otherwise overlook.

Focus on Wealth, not Net worth



Net-worth measures your net economic position, i.e. all the assets you own, minus your liabilities. Sadly, your net worth could be a lot less than it appears. This is because:

- Your net worth includes non cash-producing assets and personal effects, like your car and golf clubs, which become less valuable once you use them; and
- When you sell your assets, you are taxed for your gains.

A more meaningful measure is your wealth, i.e. how long you can survive if you stopped working today. The larger your asset column, the more income you generate even if you're not working.

Here are some useful tips to start growing your wealth:



Start a business *only* if you want to. Businesses have a high failure rate: 90% of companies fail in 5 years, and 90% of the survivors fail subsequently. Kiyosaki recommends that you start a business only *if* you really wish to be an entrepreneur. Otherwise, work hard at your job and concurrently build your asset column. After all, every dollar in your asset column is like an employee who works 24x7 for you, for generations.



Buy assets first and buy luxuries last. If you buy luxuries first (e.g. a nice car or a big house on credit), you build liabilities. Treat the luxury items as a reward for growing your assets – buy them only when you've built up enough assets, such that the income from your assets pays for your luxury items.

KEY QUOTES

"Once a dollar goes into your asset column, it becomes your employee. The best thing about money is that it works 24 hours a day and can work for generations."

"Only if you really have the desire to own your own company do I recommend it. Otherwise, keep your day job and mind your own business."

"An important distinction is that rich people buy luxuries last, while the poor and middle class tend to buy luxuries first."



Go for investments that you love and understand. Kiyosaki personally loves real estate and small businesses:

- o For real estate, he starts small and keeps trading up for bigger properties, usually holding them for less than 7 years. That way, he delays paying taxes on the gains, while giving time for the property value to rise.
- o For small companies, he uses his business acumen to pick the right stocks, and aims to be out of the stock in a year..



Teach your children to differentiate between assets and liabilities before they strike out on their own.

Learn about money



Your Financial IQ is a combination of 4 areas of expertise:



Accounting is the ability to read numbers and understand financial statements, so you can identify the strengths and weaknesses of any business.



Investing involves creative strategies and formulas to “make money with money”.



Markets are about supply and demand. Understanding markets involve knowing the economic, technical and emotions-driven aspects of the market, so you can assess if an investment makes sense given prevailing market conditions.



The law. The corporation is a powerful tool to integrate your accounting, investing, and market expertise. It allows you to do a lot of things you can’t do as an individual, such as:

Protection from lawsuits. The rich “hide” much of their wealth through vehicles like trusts and corporations. If you sue a rich person, you may find that under the layers of legal protection, he/she controls everything, yet owns nothing.

Tax advantages (i.e. pay expenses before paying taxes). An employees gets taxed first and can only spend what’s left; a corporation spends first and gets taxed on what’s left.

KEY QUOTES

“True learning takes energy, passion, and a burning desire.”

“You want to know a little about a lot” was rich dad’s suggestion.”

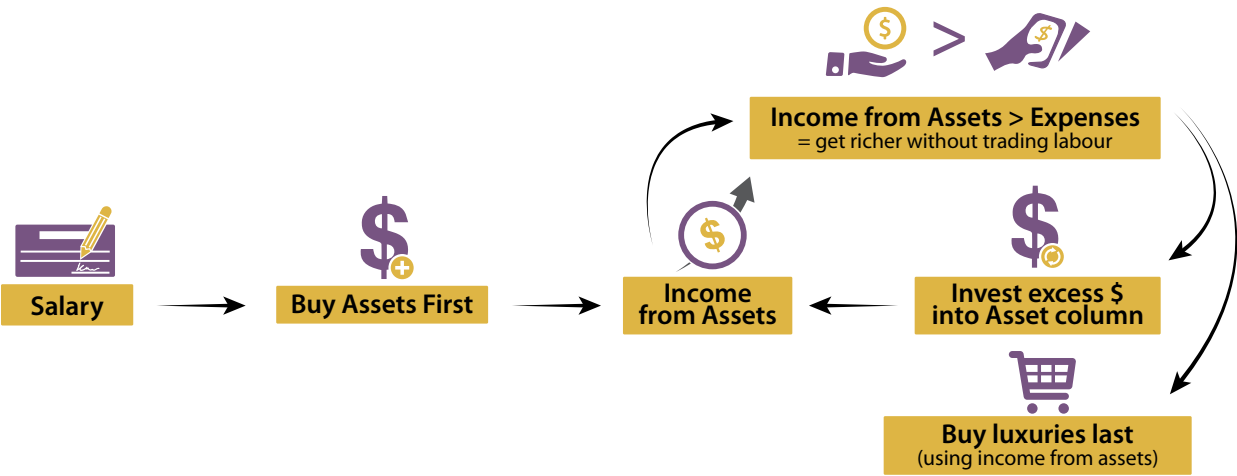
“Investing is not buying. It’s more a case of knowing.”

“The best investments are usually first sold to sophisticated investors, who then turn around and sell them to the people playing it safe.”

With some creativity, you can legally deduct items like vacations, meals, insurance, and club memberships as company expenses.

These 4 technical skills aren't as complex as it may seem, and can be learned.

This diagram summarizes some of the key ideas above:



KEY QUOTES

“Education is more valuable than money, in the long run.”

“There is gold everywhere. Most people are not trained to see it.”

“Often in the real world, it’s not the smart who get ahead, but the bold.”

“Although (tax) was intended to punish the rich, in reality it wound up punishing the very people who voted for it, the poor and middle class.”

“The socialists ultimately penalized themselves due to their lack of financial education... The rich outsmarted the intellectuals solely because they understood the power of money, a subject not taught in schools.”

PART 3: Take charge of your wealth

Don't wait for opportunities. Create them.

The History of Taxes

Most of us love the Robin Hood story of robbing the rich for the poor, and we see taxes as a way to achieve that outcome. **The reality is, the rich are not taxed; it's the middle class who pays for the poor.** To understand this, you need to understand the history of taxes.

Income taxes originated in England in 1874, and was introduced permanently in the United States in 1913. In both cases, **taxes were initially levied only against the rich, but ended up penalizing the poor and middle class.** Taxes were accepted by the masses who thought it would only punish the rich. However, as the government grew, it needed more taxes to support its operations. Taxes were levied on the middle class, and it trickled down from there.

In the meantime, during the days of sailing ships, the rich created the corporation to limit their business risks. Sea voyages were financed via a corporation, which in turn hired the crew to sail to the New World to look for treasure. If the entire ship and crew were lost, the rich could limit their losses to the money invested for that specific voyage.

Through the corporation, the rich found a way to get around taxes:

- The income-tax rate of a corporation is less than the individual income-tax rates; and
- Certain expenses could be paid by a corporation with pre-tax dollars, reducing the taxable income for the rich.

The rich can outsmart the tax system because they understand how money works. They invest money, power, and time to hire smart attorneys and accountants, lobby politicians to change laws, and use their brains and resources to change things. The poor and middle class are too busy working and uninformed to find such solutions.

The Rich Invent Money & Create Opportunities



Many people complain they have no opportunities, when they aren't even actively looking, or fail to recognize a rare opportunity staring at them in the face. Others see great opportunities but have no money to leverage them. Financial intelligence is about creating more options for yourself – knowing how to improve your financial position, to make an opportunity work in your favour, or turn a problem into an opportunity.

Kiyosaki shares how he personally created opportunities for himself:

- He made millions using games and simulations to teach financial intelligence, filling an educational gap that schools don't address.
- He invested in undervalued properties and turned them around for a profit. For example, in the depressed market of early 1990s, he found undervalued properties from the bankruptcy attorney's office or the courthouse, and made about \$190,000 in property transactions with about 30 hours of work.

Obviously, investments come with risk, and Kiyosaki was able to profit from them after years of practice. However, you can lower your risks with knowledge, wisdom and love of the game.



Start small and scale up. Plant small seeds in the assets column. Some will grow and some won't; From those that grow, you can plant bigger seeds and gradually grow your

KEY QUOTES

"Instead of climbing the corporate ladder, why not own the ladder?"

"My rich dad just played the game smart, and he did it through corporations– the biggest secret of the rich."

"The world is always handing you opportunities of a lifetime, every day of your life, but all too often we fail to see them."

"The more I learn...the more money I make simply because I gain experience and wisdom as the years go on."

"It is not gambling if you know what you're doing. It is gambling if you're just throwing money into a deal and praying."

"Often, the best deals that make the rich even richer are reserved for those who understand the game....The more sophisticated I get, the more opportunities come my way."

asset base. Kiyosaki likens the process to riding a bike. You will inevitably fall and probably hurt yourself in the process. It's important to have fun and not take the small losses too seriously.



Take time to hone your financial intelligence. The more you play the game, the more you understand it, and the easier it is to spot good opportunities or transform a bad deal into a good one. That's why working hard at your job and "playing safe" comes with a huge opportunity cost: the failure to gain financial intelligence.



Retail or Professional Investment. Most investors are retail investors - they buy packaged investments, much like buying a computer from a computer store. Professional investors like Kiyosaki assemble their own opportunities, much like assembling a computer using component parts. This takes much more skill and experience, but the rewards are also much bigger.

Start

Getting Started

Overcoming Obstacles



Besides the lack of financial literacy, there are 5 key obstacles that could hinder your ability to develop abundant asset columns.



Fear. Nobody likes to lose money, yet losses are inevitable in investments. The solution is to:

- o Start as early as possible (especially if you are risk-averse); and
- o Learn the "Texan attitude": Don't be afraid to win big and lose big; turn your failures into rallying cries for success.



Cynicism. Our doubts can paralyze us. Yet, the most gloomy and volatile times are also the best times to make money. Have the courage to take action in spite of the fearful voice in your head, and to ignore rumours of doom and gloom.



Laziness. "Busy-ness" is often an excuse to avoid dealing with the difficult issues. The best way to overcome laziness is to focus on something you want (e.g. money, success, freedom).

KEY QUOTES

"Great opportunities are not seen with your eyes. They are seen with your mind."

"There is always risk, so learn to manage risk instead of avoiding it."

"(Financial intelligence) is not so much what happens, but how many different financial solutions you can think of to turn a lemon into millions. It is how creative you are in solving financial problems."

"The single most powerful asset we all have is our mind. If it is trained well, it can create enormous wealth."

"The primary difference between a rich person and a poor person is how they manage fear."

"For most people, the reason they don't win financially is because the pain of losing money is far greater than the joy of being rich."

"Life is much like going to the gym. The most painful part is deciding to go. Once you get past that, it's easy."

"Be a little greedy. It's the best cure for laziness."



Bad habits. Break the bad habit of paying yourself last. Allow yourself to be pressurized by your creditors so you'll feel the urgency and motivation to seek out new sources of income.



Arrogance. Don't hide your ignorance behind arrogance. Confront what you don't know, rather than dismiss it as unimportant.

Unleash your Financial Genius



Here are 10 philosophies to help you unleash your financial genius



1. **The power of spirit.** Identify your deepest desires and pains which drive you.



2. **The power of choice.** Shape your life through your daily choices, be it how you think about money, who you learn from or how you spend or invest that next dollar.



3. **The power of association.** The right people and rich friends can give you access to valuable information and opportunities.



4. **The power of learning quickly.** Learn fast and apply what you've learnt.



5. **The power of self-discipline.** Always pay yourself first. Avoid liabilities, and build assets before buying luxuries.



6. **The power of good advice.** Pay your brokers well for useful information and sound education (which are priceless).



7. **The power of getting something for nothing.** Go beyond Return of Investment (ROI); look at what assets you can get for free once you get your money back.



8. **The power of focus.** Focus relentlessly on building your assets column, and only buy luxuries using assets.



9. **The power of myth.** Find your heroes so you can be inspired by them.



10. **The power of giving.** Give generously what you wish to get – be it money, education, love or friendship.

KEY QUOTES

"If you have little money and you want to be rich, you must first be focused, not balanced."

"If I pay myself first, I get financially stronger, mentally and fiscally"

"I've learned that, without a strong reason or purpose, anything in life is hard."

"That is a choice we all make daily: the choice of what we do with our time, our money, and what we put in our heads."

"When it comes to investing, too many people make it sound hard. Instead, find heroes who make it look easy."

"When it comes to money, love, happiness, sales, and contacts, all one needs to remember is to give first."